not suggest that you would be better served by heading over to an unaffiliated Ford dealership.

Consumers understand this about people who sell cars, but they often do not recognize that this same issue exists for brokers and agents. People naturally tend to believe financial advisors are independent and seek to work in their clients' best interests, as they should. Fiduciary investment advisors face little to no conflict in directing client investments, because their compensation is not tied to a specific product. They can essentially recommend you buy the most fitting car from any available car dealership, which is the treatment consumers generally expect from all advisors. But brokers do not have this freedom; they are obligated to sell their sponsoring company's financial products. If another dealership would fit your needs better, they would still encourage you to buy from them instead.

To make matters worse, low-cost products that can better serve consumers carry a lower commission, making them less desirable for brokers to sell. Products that are harder to sell because of their complexity may have reduced effectiveness for clients, but they tend to carry higher commissions in order to incentivize their sale. It's like doctors providing prescriptions based on pharmaceutical company kickbacks rather than the patient's health.

Many advisor websites make it difficult to understand how they are registered and what sort of standard of care they provide. It would be simple if we could just separate the advisors from the brokers, but many advisors are registered as investment advisors and brokers or agents. Dual registration muddles the situation for clients further, as it may not always be clear when advisors are wearing the hat of a fiduciary, and when they are making recommendations under suitability requirements. Because they can also receive commissions, such dually registered advisors should use the term *fee-based* to describe their firms, rather than *fee-only*. However, I'm not sure if all advisors make this distinction between the two terms. Clients could then have a clear understanding of when they are being served under the fiduciary or suitability standard.